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No. 96-1033

In The

Supreme Court of the United States

October Term, 1996

LORDS LANDING VILLAGE CONDOMINIUM COUNCIL OF UNIT OWNERS,

Petitioner,

vs.

CONTINENTAL INSURANCE COMPANY,

Respondent.

On Petition for a Writ of Certiorari to the United States Court of Appeals for the Fourth Circuit

RESPONDENT'S BRIEF IN OPPOSITION

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QUESTIONS PRESENTED

1. Whether the holding in *Sheets v. Brethren Mutual,* 342 Md. 634, 679 A.2d 540 (1996) constitutes a controlling intervening state court decision which specifically rejects the standard used and the case law relied upon by the federal appellate court.

2. Whether the holding in *Sheets v. Brethren Mutual,* 342 Md. 634, 679 A.2d 540 (1996) is dispositive of the issue of Continental's duty to indemnify the insured under its Commercial General Liability Policy for breach of warranties and misrepresentations in violation of the Maryland Consumer Protection Act.

3. Whether the holding in *Sheets v. Brethren Mutual,* 342 Md. 634, 679 A.2d 540 (1996) and the basis upon which the court determined its holding, is distinguishable from the facts of the instant case.

STATEMENT PURSUANT TO RULE 29.6

Respondent, Continental Insurance Company, n/k/a CNA Insurance Companies states that it has no parent companies or subsidiaries.

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COUNTER STATEMENT OF THE CASE

The instant case arises from an underlying tort suit involving *Lords Landing Village Condominium Council of Unit Owners v. Wellington Homes, et al.*, Civil Action No. 92-23723, decided on May 26, 1994 in the Circuit Court for Prince George's County, Maryland.[1] The trial of the case resulted in a jury verdict against the Insured, in the amount 1.1 million dollars based upon a finding that the Insured breached warranties and made misrepresentations in violation of the Maryland Consumer Protection Act.[2]

Prior to the aforestated litigation, Continental Insurance Company, (the insurer, hereinafter referred to as "Continental" and/or "Respondent"), on June 16, 1994, in conjunction with its earlier denial of coverage and reservation of rights letter previously sent to the Insured on April 2, 1993, confirmed that no coverage was afforded to the Insured based upon the clear exclusionary language contained within the applicable policy of insurance.

After the underlying judgment and a request on behalf of Petitioner to the Respondent to satisfy said judgment, which was refused, Petitioner filed a complaint in the Circuit Court for Prince George's County, Case Number CAL 94-22019, wherein it is alleged that the Respondent was responsible for the payment of the underlying tort judgment based upon the

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1. Lords Landing Condominium Council of Unit Owners, hereinafter referred to as "Lords Landing" and/or "Petitioner." It is also noted that Wellington Homes, *et al.*, will be hereinafter referred to as the "Insured."

2. It is further noted that there was no finding by the jury that the Insured's liability dealt with work by subcontractors or negligent work by the Insured's subcontractors nor was their determination of liability based upon causes of action premised upon negligence.

allegation that the Respondent is obligated to pay all sums which the Insured becomes legally obligated to pay because of property damage or bodily injury on behalf of its Insured.

Pursuant to 28 U.S.C. § 1446(a) and 28 U.S.C. § 1332, Respondent removed the entire action to the United States District Court for the District of Maryland. On December 12, 1994, Respondent filed a Motion to Dismiss and/or for Summary Judgment. On January 9, 1995, Petitioner filed an Opposition. On April 13, 1995, Respondent filed a Supplemental Memorandum in support of its earlier Motion to Dismiss and/or for Summary Judgment. Petitioner responded with a Cross Motion for Summary Judgment and a Supplemental Response on June 1, 1995. Respondent thereafter filed an Opposition to the Cross Motion for Summary Judgment on July 6, 1995. On July 7, 1995, a Motions hearing was held before the Honorable Peter J. Messitte. At said hearing, Judge Messitte granted Summary Judgment in favor of the Respondent and denied the Petitioner's Cross Motion for Summary Judgment. A final Order with respect to the court's ruling was entered on July 10, 1995. Petitioner then filed a Notice of Appeal, appealing both decisions on August 4, 1995. The Fourth Circuit Court of Appeals thereafter affirmed the trial court's decision in an unpublished opinion on August 6, 1996. (App. 1a.) Petitioner then filed a Petition for Rehearing which was denied on September 3, 1996. (App. 5a.) Petitioner thereafter filed a Motion to Recall and Stay Mandate and to Renew Petitioner's Motion for Rehearing and En Banc Review and/or Leave to File a Second Petition for Rehearing and En Banc Review which was denied on December 16, 1996. On December 27, 1996, after receiving an extension of time with this Court, the Petitioner filed a Petition for Writ of Certiorari.[3]

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3. Respondent has elected to file a Counter Statement of the Case, even though most of the factual issues are not in dispute in view of the fact that the (Cont'd)

REASONS FOR DENYING THE WRIT

I.

THE HOLDING IN *SHEETS V. BRETHREN MUTUAL*, 342 Md. 634, 679 A.2d 540 (1996) IS NOT DISPOSITIVE OF THE ISSUE OF THE DETERMINATION OF LIABILITY COVERAGE UNDER CONTINENTAL'S COMMERCIAL GENERAL LIABILITY POLICY FOR BREACH OF WARRANTIES AND MISREPRESENTATIONS IN VIOLATION OF THE MARYLAND CONSUMER PROTECTION ACT, AND THEREFORE, DOES NOT CONSTITUTE A CONTROLLING INTERVENING STATE COURT DECISION WHICH SPECIFICALLY REJECTS THE STANDARD USED AND THE CASE LAW RELIED UPON BY THE FEDERAL APPELLATE COURT.

Contrary to the contention by the Petitioner that the issues before this Court arise from "principles of federalism", the proper issue before this Court is simply whether the holding in *Sheets v. Brethren Mutual*, 342 Md. 634, 679 A.2d 540 (1996) is dispositive of the issue of liability coverage for breach of warranties and misrepresentations in violation of the Maryland Consumer Protection Act. In the event that the holding in *Sheets v. Brethren Mutual*, 342 Md. 634, 679 A.2d 540 (1996) is not dispositive and/or is not a controlling intervening state court

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(Cont'd)
Petitioner has consistently alleged that the Insured's liability was based and/or founded upon negligent work done by its subcontractors. On the contrary, the Insured's subcontractors were not parties to the underlying tort suit, nor did the jury base their findings of liability upon actions and/or omissions on the subcontractors behalf. The finding of liability, as set forth by the jury verdict sheet, clearly dealt with breach of warranties and misrepresentations on behalf of the Insured, and no one else. (App. 24a.)

decision which specifically rejects the standard used and the case law relied upon by the federal appellate court, all remaining issues are moot, and the Petition for Writ of Certiorari, as a matter of law, must be denied.

By its own admission, Petitioner's case is premised exclusively upon the assumption that the holding in *Sheets v. Brethren Mutual,* 342 Md. 634, 679 A.2d 540 (1996) is dispositive of the issues of liability coverage in the instant case. Specifically, Petitioner argues that prior to the affirmation of the trial courts ruling by the Fourth Circuit Court of Appeals, the Maryland Court of Appeals issued a controlling decision in *Sheets v. Brethren Mutual,* 342 Md. 634, 679 A.2d 540 (1996) which the Petitioner contends constitutes a controlling intervening state court decision which specifically rejects the standard used and the case law relied upon by the federal appellate court. This is simply not the case. A close examination of the holding as set forth in *Sheets v. Brethren Mutual,* 342 Md. 634, 679 A.2d 540 (1996), reveals that said holding does not address, in any manner, the insurer's duty to indemnify within the context of a commercial general liability policy, nor does it address the issue of indemnity coverage within the context of breach of warranties and misrepresentations in violation of the Maryland Consumer Protection Act. As a result, said holding is easily distinguishable from the instant case.

In *Sheets v. Brethren Mutual,* 342 Md. 634, 679 A.2d 540 (1996), the insureds filed a declaratory judgment to determine whether their general liability insurer, within the context of a farm owner's policy, had a duty to defend or indemnify in a tort suit brought as a result of the sale of the insureds' farm. The underlying suit specifically alleged that in conjunction with the sale of the farm, the insureds both intentionally and negligently misrepresented that the septic system at their farmhouse was in

good working condition. *Id.* at 541. Approximately three weeks after the new owner took possession of the property, it was alleged that the septic system began leaking and flooded the walkway. The septic system was then condemned, and as a result, it was replaced at a cost of approximately $1,200. *Id.* The essence of the underlying complaint was that had it not been for the alleged misrepresentations, the purchasers would not have moved into the house.

After suit was filed, the insureds notified their insurance carrier (Brethren Mutual Insurance Company, "Brethren" and/or "Insurer") and requested that Brethren defend and indemnify pursuant to the terms of their farm owner's general liability policy. Brethren refused and the declaratory judgment was filed. A Motion for Summary Judgment was then filed on behalf of Brethren and granted by the trial court. This was appealed by the insureds. Prior to the time that the intermediate appellate court (Maryland Court of Special Appeals) considered the case, the Maryland Court of Appeals issued a Writ of Certiorari *sua sponte*. While the appeal was pending, the case was settled. *Id.* at 542.

Prior to addressing any of the opinions set forth in the declaratory judgment action, the Maryland Court of Appeals in Brethren specifically stated that:

> Preliminarily we note that since there is no information in the record concerning the settlement of the Christensens' suit against the Sheetses, we have no indication of how damages were calculated or whether the suit was settled on grounds of intentional or negligent misrepresentation. **Hence, we can not determine whether Brethren would have had a duty to indemnify the Sheetses.**

> **Consequently, we will discuss only Brethren's duty to defend and not its duty to indemnify.**

(Emphasis added). *Id.* As a result of this clear pronouncement from the court, it is unquestionable that from the very outset that the court in *Brethren* specifically recognized that its holding **did not address the issue of the insurer's duty to indemnify and expressly limited its opinions with respect to the insurer's duty to defend.**

To further clarify this position, the court in *Brethren* expressly recognizing the distinct difference between the duty to defend as opposed to the duty to indemnify by reiterating its previous holding in the seminal case of *Brohawn v. Transamerica Ins. Co.*, 276 Md. 396, 347 A.2d 842 (1975), wherein the Maryland Court of Appeals held that:

> The obligation of an insurer to defend its insured under a contract provision such as here involved is determined by the allegations in the tort action. If the plaintiff in the tort suit alleges a claim covered by the policy, the insurer has a duty to defend. . . . Even if a tort plaintiff does not allege facts which clearly bring the claim within or without the policy coverage, the insurer still must defend if there is a *potentiality* that the claim could be covered by the policy. (Emphasis in original).

Based upon the "potentiality doctrine" as set forth in *Brohawn*, it is well recognized in Maryland that an insurer's duty to indemnify is separate and distinct from its duty to defend. While duty to defend is determined by the allegations of the underlying

complaint and any extrinsic evidence presented or known to the insurer, **the duty to indemnify is determined by the facts as they ultimately are proven in the underlying action, either at trial or by some other definitive means.** *Cheverly v. Ticor,* 100 Md. App. 606, 642 A.2d 285 (1994). As a result, it is a fundamental principle that an insurer's duty to defend is broader than duty to indemnify. *American Motorists Ins. Co. v. ARTRA Group, Inc.*, 338 Md. 560, 659 A.2d 1295 (1995). Therefore, in view of the fact that the court in *Brethren* only addressed the issue of the insurer's duty to defend, and specifically stated that it was not addressing the issue of an insurer's duty to indemnify, said holding cannot, as a matter of law, have any precedential value or provide any guidance concerning the issue of indemnification.[4] Furthermore, since the basis of the decisions below were based primarily upon the issue of whether Continental owed a duty to indemnify the Insured as a result of the jury's verdict, the holding in *Brethren* cannot represent a "controlling intervening state court decision which specifically rejects the standard used and the case law relied upon by the federal appellate court." Therefore there was no failure on behalf of the federal appellate court to "apply intervening judicial decisions of Maryland's highest court" as the Petitioner contends.

The Petitioner also attempts to argue that the holding in *Sheets v. Brethren Mutual*, 342 Md. 634, 679 A.2d 540 (1996) outright rejects the use of an objective standard to determine what constitutes an "occurrence" or "accident" under a liability insurance policy and adopts a subjective standard whereby if a **negligent act** causes damage that is unforeseen or unexpected by the insured, the act constitutes an "accident." However, the

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4. It is an undisputed fact that Continental, pursuant to a timely reservation of rights letter, provided a full and complete defense to the Insured as a result of the allegations by the Petitioner, and therefore, fulfilled its duty to defend.

Petitioner fails to acknowledge that there is absolutely no indication from the Maryland Court of Appeals as to how they would decide the issue based upon **breach of warranties and misrepresentations within the context of indemnification**. As the Petitioner is aware, the opinion in *Sheets v. Brethren Mutual*, 342 Md. 634, 679 A.2d 540 (1996) is not only expressly limited to the issue of an insurer's duty to defend, it is also limited to the issue of negligent misrepresentation within the context of the insurer's duty to defend.

In the instant case, the jury expressly held that the Insured was liable for **breach of warranties and misrepresentations in violation of the Maryland Consumer Protection Act**, not Negligent Misrepresentation. In fact, all negligence counts, including the cause of action premised upon Negligent Misrepresentation in the underlying tort suit, were dismissed prior to trial in response to a Motion for Summary Judgment filed on behalf of the underlying tort defendant. In said Motion, the defendant argued that based upon the economic loss rule as set forth in *Morris v. Osmose Wood Preserving*, 340 Md. 519, 667 A.2d 624 (1995), the plaintiff, as a matter of law, could not proceed with causes of action sounding in negligence. As a result, Count Four, (Negligence) and Count Nine (Negligent Misrepresentation) were dismissed. Thus, all causes of action premised upon negligence were dismissed prior to trial and therefore could not have been included in jury's determination of liability.

In *Sheets v. Brethren Mutual*, 342 Md. 634, 679 A.2d 540 (1996) the court also stated that:

> we hold today that an act of negligence constitutes an accident under a liability insurance policy when the resulting damage was an event that takes place without the

> insured's foresight or expectation. . . . In other words, when a negligent act causes damage that is unforeseen or unexpected by the insured, the act is an accident under a genera liability policy.

Id. at 548. Therefore, the court has further limited its opinion to negligent acts that are "unforeseen or unexpected." Yet in the instant case, the Insured was held liable for breach or warranties and misrepresentations in violation of the Maryland Consumer Protection Act, **not causes of action premised upon negligence that were unforeseen or unexpected**. The negligent act in *Brethren* was that the owners allegedly failed to tell the purchasers about the true condition of the septic system. However there is no evidence in *Brethren* to support the fact that the owners had any knowledge with respect to the alleged defective condition of the sewer system nor is there any indication from the court that there were facts sufficient to establish that the sellers should have known of the alleged defective condition. However, the jury in the instant case expressly found that the Insured "lead the Plaintiffs to believe that the common elements of the condominium had a quality, useful life or characteristics which they do not have", App. 25a, and that the Insured "breached its warranty obligation to the individual purchasers at Lords Landing for common elements." (App. 24a.)

By the very nature of the jury's expressed findings, it is clear that the basis for the Insured's liability is easily distinguishable from the factual basis for the court's determination of the duty to defend in *Brethren*. Moreover, the findings on behalf of the jury in the instant case do not amount to "negligent acts that are unforseen or unexpected." There is simply no comparison. They are separate and distinct causes of action each requiring the establishment of separate and distinct

elements. There is no credible basis for a comparison between the two nor is there any indication in the jury's verdict that the basis of liability stemmed from negligent acts that were unforseen or unexpected. Therefore, even if the holding in *Brethren* could be applied to the duty to indemnify, which is denied, then and in that event, said holding is still inapplicable as the theory of the Insured's liability in the instant case has nothing to do with negligence.

Yet another faulty assumption concerning the facts of the underlying tort case is illustrated by the Petitioner's attempt to label the case as one arising out of negligence. This flawed strategy was not only expressly rejected by the trial court, this was also rejected by the federal appellate court. However, under the guise of "federalism", this essentially is what the Petitioner is attempting yet again. Petitioner seeks to have this Court determine that the actions on behalf of the Insured were tantamount to negligence and/or negligent work on behalf of the subcontractors. Once again, the Petitioner has elected to ignore the underlying jury verdict, *i.e.* the specific basis for liability on behalf of the Insured. The *Brethren* decision was never intended to be applied to the facts of the instant case. Clearly this is improper and impermissibly extends any such intended meaning well beyond the contemplated intent of the Maryland Court of Appeals. In fact, the only indication that is expressly stated by the court in *Brethren* is that the opinion is limited to the insurer's duty to defend. Therefore, the opinion as set forth in *Brethren* cannot and does not provide a basis upon which this Court or any court can determine the issue of liability coverage.

II.

PETITIONER DOES NOT RAISE AN IMPORTANT POLICY ISSUE.

Petitioner argues at length that the issue before the Court is one "federalism" and one of the "orderly administration of justice", however, the only support for this perceived theory is that the holding in *Sheets v. Brethren Mutual,* 342 Md. 634, 679 A.2d 540 (1996) "specifically rejects the standard used and the case law relied on by the federal appellate court."[5] Contrary to the Petitioner's belief, the salient issues before this Court have nothing to do with federalism or the orderly administration of justice. Petitioner's argument stems entirely from a self-serving interpretation of the holding in *Sheets v. Brethren Mutual*, 342 Md. 634, 679 A.2d 540 (1996), which is neither supported by the facts contained therein nor by the court's own language. The holding in *Brethren* clearly does not "specifically reject" the standard used by the federal appellate court based upon the statement by the court in *Brethren* that the opinion was not addressing the duty to indemnify. The only result obtained from *Brethren* is that based upon the "potentiality doctrine", the court decided that the insurer owed a duty to defend under the applicable policy with respect to the cause of action premised upon negligent misrepresentation. It certainly did not deal in any manner with the theory of liability in the instant case, *i.e.* breach of warranties and misrepresentations under the Maryland Consumer Protection Act. Furthermore, there is no indication that the federal appellate court failed to consider the holding in *Sheets v. Brethren Mutual,* 342 Md. 634, 679 A.2d 540 (1996). The most reasonable assumption is that as a result of the plain language as set forth in *Brethren,* the court decided that it did

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5. *See* Petitioner's Petition for Writ of Certiorari, *i.e.* Questions Presented.

not address the issue of the insurer's duty to indemnify for breach of warranties and misrepresentations, and was therefore, inapplicable. Therefore, despite Petitioner's efforts to classify this case as one of "federalism" based upon its perceived interpretation of *Sheets v. Brethren Mutual*, 342 Md. 634, 679 A.2d 540 (1996), the issue before the Court is Continental's duty to indemnify, which has already been decided by the trial court and the federal appellate court in the insurer's favor.

CONCLUSION

For the reasons set forth above, Respondent urges this Court to deny the Petition for Writ of Certiorari.

Respectfully submitted,

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